Bafin Federal Financial Supervisory Authority

CONSUMER PROTECTION

Investment advice: what to keep in mind

Find out what information you are entitled to during investment consultations with your financial services provider and what information is needed for consultations to be productive. This page provides a guide to obtaining effective investment advice.

How does an investment consultation typically proceed?

Investment advice is provided in four steps:

- The advisor asks you for information.
- You are informed of all the key circumstances.
- Based on your customer information, the advisor recommends a suitable product to you.



The recommendation is documented.

What information does the investment advisor need?

Your investment objectives



- Do you have any specific goals for your investment, such as accumulating assets to buy a property in future or for financing your studies?
- Are you looking to save for your retirement, to build up assets or liquidity, or do you want to speculate?
- How willing are you to take risks?
- Are ecological and social factors important to you when investing? Are you interested in sustainably managed companies?
- Do you have a set timeframe for your investment?

Your financial situation



- How much do you own in cash and securities?
- Do you have any other assets, such as property?
- What regular income do you receive, e.g. salary, rental income, income from investments?
- What regular expenses do you have, such as rent, loans or maintenance payments?

Your knowledge and experience of investments



- How familiar are you with financial instruments and services?
- With which types do you have experience?
- Over what timeframe did you gather this experience?
- How many investment transactions have you executed in the past few years?
- How much did you invest?
- Do you have experience with investments in foreign currencies?

Additionel information

In addition to these typical questions, your advisor may ask for further information. If you have any other important investment objectives, you should state them as well. It is vital that the advisor gains a comprehensive overview. You should therefore provide comprehensive and well though-through answers, and inform the advisor of any changes. This is the only way to ensure that your advisor has all the necessary information. Without information about your investment objectives, your risk tolerance, your sustainability preferences, your financial circumstances, your ability to bear losses as well as your knowledge and experience, the advisor will not be able to advise you.

What information is the advisor required give me?

Sustainable investment: mandatory question in investment consultations

If you wish to invest sustainably while also achieving returns, an investment consultation will help you to strike the balance between climate protection and your financial goals.

Before any investment consultation, you must be told whether you are getting independent fee-based investment advice. If this is the case, the advisor is remunerated by you directly. If the advisor receives any commission, it must be paid to you in full and immediately.

You must be given all the key information about the investment, including the costs of the financial instrument and the service as well as how such costs affect returns. Inducements, such as commission from third parties, must also be disclosed. This information should be provided to you in printed or electronic form before you invest. The advisor will provide you with a detailed breakdown of costs if you request one.

The advisor must provide you with an information sheet before concluding any transaction in financial instruments. This sheet describes the main characteristics of the financial instrument, including its type, how it functions as well as its risks and costs. In the case of packaged investment products, such as investment funds or structured financial products, this sheet is known as the “key information document”.

Which products can the investment advisor recommend to me?

Your advisor can only recommend financial instruments that are suitable for you. The recommendation must match your investment objectives, you must be able to bear the investment risks, and you must be able to understand the risks based on your knowledge and experience.

What is the purpose of the suitability report?

As part of every investment consultation, consumers receive a suitability report about the recommendations, either printed out or electronically. The report helps you to understand the reasons for the recommendation so that you can make an informed decision before concluding any contract. This will enable you to identify and address any discrepancies immediately. You can also use to the documentation and reasons provided for other consultations or as reference at a later date.

Bafin examines suitability reports on a sample basis. Suitability reports provide Bafin with important information about whether the requirements for investment consultations have been met. You will also receive such a report if you use the consultation service regularly or do not buy or sell a financial instrument. The contract governing the recommended transaction may only be

concluded after you have received the report.

Exceptions exist if the consultation takes place by telephone and you insist on immediately concluding a contract. The advisor can then provide you with the report at a later date.

Are there any other records of the investment consultation?

After the consultation, you can place an order with your advisor. When doing so, it is necessary to record the time and place of the consultation, the people present, who initiated the consultation and details of the order such as price, scope and type. You can request this documentation together with the suitability report. Companies can combine them.

In the case of consultations and orders that are carried out electronically or by phone, the company records your interactions (taping) and informs you of this in advance. The company will not be able to provide the service via such channels if you object to the recording. It must keep the recordings for five years. You can request a copy at any time.

Remember that the role you play is crucial. Read through the documents carefully. Pay particular attention to the accuracy of the information on your investment objectives, financial knowledge, experience and financial situation. Check whether the advisor has struck the right balance between the potential returns and the safety of the investment.

Investment advice: what can Bafin do for you?

If you feel you have received poor advice from your advisor when buying financial instruments, you can ■ file a complaint with us. Any information you provide assists us in identifying violations of supervisory law and in adopting measures to deal with them.

Please note: we can only examine your complaint if the company is subject to our supervision. Bafin cannot issue legally

binding decisions on disputes in individual cases. It is the courts that clarify facts and assess evidence in civil proceedings. Only they may issue legally binding decisions on matters of dispute and order companies to make payments.

Complaints can also be submitted to the ombudspersons of German banking associations. You can find out whether your bank participates in ombudsperson procedures on the websites of the associations or in Bafin's database of companies. If no private, recognised dispute resolution entity is responsible, you can contact the arbitration board at Bafin.

Questions & answers on investment advice

Can I waive the preparation and provision of the suitability report?

No. There is no option to waive the preparation and provision of the suitability report.

How useful are recommendations and model portfolios that are provided in market letters or via telephone hotlines?

Market letters reflect the opinions of their authors. These letters should describe how the author arrived at their assessment. The assessment must be based on facts so that you can understand it. If such facts are absent and the person only expresses an unsubstantiated positive opinion, you should be sceptical.

Never blindly follow recommendations or model portfolios, regardless of

who provides them. Don't let anyone put pressure on you (“buy quickly, otherwise you’ll miss your chance”). As a general rule: don’t buy anything you don’t understand. Form your own opinion of the securities being recommended. If you cannot find any reliable information, don’t invest. Market letters often recommend less frequently traded shares in small companies. The prices of these shares can change quickly. In many cases, just a few buy or sell orders are enough to influence the price. If a recommendation causes a “herd effect” (many investors buying at the same time), the price can both rise and fall quickly. Lots of people have lost their money in this way.

Finally: nothing is for free on the securities markets. Wherever there is a prospect of large and quick profits, there is also a high risk – you might even lose all of your invested capital.

What can be deemed “wrongful advice”?



This question arises when recommended securities fall short of expectations or result in losses. Whether “wrongful advice” was provided depends on the individual case. The decisive factor is whether the recommendation was appropriate at the time it was issued. If it subsequently transpires that a different recommendation would have been better, it does not mean that the advice was wrongful. If you merely realise retrospectively that investing in a different equity fund or individual shares would have been wiser, it does not necessarily mean that the investment recommendation was inappropriate at the time it was made.